



Winding Tree

A response to Stefano Bernardi



Maksim Izmaylov

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3 min read · Sep 4, 2017



35



1



Is business travel really one of the first markets that needs decentralized applications? 🤔

First of all Winding Tree is not tackling “*business travel*” but rather the distribution aspect of travel. Every time you book a hotel or airline under today’s architecture there are multiple parties involved in the transaction, which creates double marginalization and inflates prices for essentially just moving data around. When you book a flight from a travel agency, that travel agency sources their booking from a GDS (Global Distribution System), and the GDS is connected directly into the airline to keep its prices and availability up-to-date. Compared to booking directly you now have 2 parties which impose a margin on your booking. Due to price-parity agreements often suppliers are not allowed to charge different prices on different platforms, therefore not being able to add distribution charges to cover their costs, the suppliers are then forced to include these distribution costs in the official rate you would also get by booking directly. In the airline space price-parity is less common than in hotels and for that reason large airlines have recently announced extra fees for GDS distribution, i.e. Lufhansa, British Airways, and Iberia. Moreover, if you’re booking internationally you are involved in a multi-currency transaction which can span over more than a

handful of countries for a simple flight. If you're booking a flight from New York to Barcelona, over Reykjavik, you'll pay your ticket in USD, yet part of the ticket price will then be exchanged to Icelandic krona, and the other into Euro. Your ticket also entails airport security charges, bag security charges, government taxes, embarkation tax, passenger service charge, noise charges etc. If you add third-party insurance, or a car rental to your booking at checkout, then, depending on where those companies are based you could be seeing more than 5 currency trades being made for a simple flight.

What we're tackling is everything that's happening in the background. That's why for non-travel folks, at first, it might seem a redundant project. Yet, we've received strong validation from the travel industry.

Sometimes, just sometimes, I get this strange vibe that someone might be making shit up just to raise cash even if there's absolutely no need for what they're doing and they're probably never going to be able to build it anyways.

Our whitepaper is [live on google docs with comments open](#), so we'd love if you could mark the sections where we're “*making shit up*” so that we can address these and clarify the whitepaper not only for you but to the whole community — we've tried to keep the whitepaper as jargon-free as possible.

We personally believe ICOs benefit from the decentralization of knowledge. Unlike the traditional VC scene, which may be seen as central planning for raising money, ICOs allow every individual to participate in a project they deem has a great potential. It's not an elite-boys-club deciding what they think is the best project (central planning — central knowledge), but it's truly the market which decides which projects are worth contributing towards. No VC firm in the world can know about all the developments in travel distribution, in milk production, in gaming, in content creation, in GMO etc. The free market, however, can react instantly. So we're not at all discouraged by a VC's centralized knowledge and judgement on our project. We're blown away by the decentralized knowledge from small travel startups, hotel

chains, airlines, and individual people who work in the travel industry which validate and approve of the project! Another point we would like to add is that we have announced our MVM (Market Validation Mechanism), which allows token holders to resell their tokens back to our MVM smart contract in case they don't see any value in the project. The MVM will hold all funds raised during our ICO which exceed \$10 million. Therefore, if “*we're just making shit up*” token holder will be able to recover a part of their contribution.

Sources:

Lufthansa to add surcharge to every booking made via the GDS

The "value of the GDS" debate has returned with a bang, with Lufthansa introducing a levy on all bookings made via a...

www.tnooz.com



British Airways and Iberia adopting GDS booking surcharge: Travel Weekly

British Airways and Iberia will implement a \$10 surcharge per "fare component" on bookings through the GDS, beginning...

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Decentralized Travel Distribution

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Written by Maksim Izmaylov

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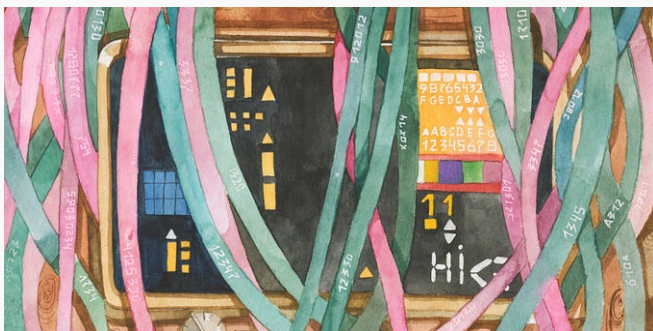


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	verification				contract configuration	
Registration / Invalidation	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted	-Registers itself -Deposits a proper amount of LIF -Sends a LIF deposit withdrawal request (become disabled) -Disable itself -Become disabled if his LIF deposit balance is exhausted		- Approve minting of new LIFs to the "customers rewards" fund	
Verification		-Verifies suppliers or retailers -Invalidates suppliers or retailers -Pays verification fee with LIF to the DAO from its deposit balance			-Validates and verifies verifiers -Invalidates verifiers	
Deals creation			-Creates a deal on behalf of a customer and pays an offer price	-Creates a deal and pays an offer price		
Deals rejection	-Pays tx expenses -Pays a proper amount of LIF from its deposit as a rejection penalty			-Receives a full refund of the deal funds	-Receives "rejection fee" from the supplier	
Deals cancellation	-Receives full/part of	-Receives part of the	-Receives part of the	-Pays tx expenses	-Receives part of the	

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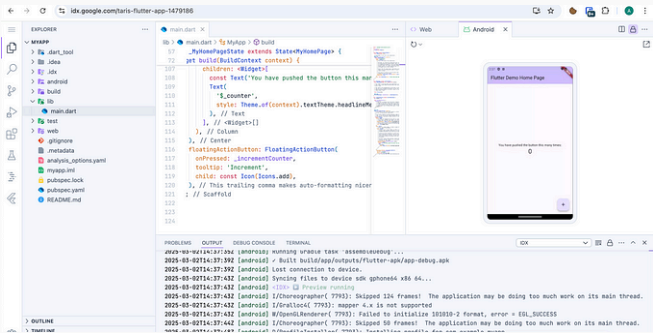
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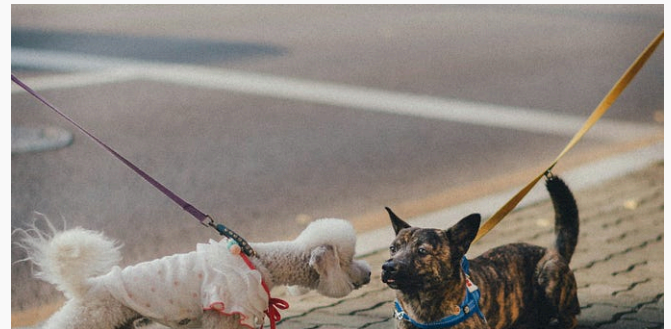
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